

The \$1 Trillion Risk Transfer: Banks Are Lending, but Someone Else Is Holding the Risk

The most important number in the International Association of Credit Portfolio Managers survey is not the 905 billion in loan risk transferred. It is the 26% growth rate. Banks are not hoarding capital. They are renting it out and selling the downside. Significant risk transfer deals, or SRTs, allow lenders to offload default risk on loan pools to investors while keeping the loans on their books. The bank collects the spread.

The investor collects a double-digit return if the loans perform, and absorbs the loss if they do not. The bank frees up regulatory capital. The investor gets yield with no origination cost. This is not a niche product anymore. It is a structural shift in how credit is created and distributed. And for commercial real estate owners and lenders, it changes the calculus of who holds the risk in the capital stack.

Diversified asset managers invested 7.5 billion in SRTs last year, up from 2 billion in 2022. Together with specialized SRT credit funds, they now represent more than 70% of the investor base. Insurance companies added 2.8 billion, primarily through unfunded credit protection guarantees. Blackstone provided first-loss protection on a 2 billion ABN Amro corporate loan portfolio.

Brookfield's Oaktree Capital Management is hedging credit risk on \$2 billion of Deutsche Pfandbriefbank commercial real estate loans. The names matter. The largest private equity firms are not just buying real estate. They are underwriting the credit risk of the banks that finance it. That changes the incentive structure.

When Blackstone holds the first-loss piece on a bank's corporate loan book, it has a direct economic interest in the bank's underwriting standards, portfolio composition, and workout strategy. The bank still originates and services the loan. But the economic risk has migrated. For commercial real estate, the implications are specific.

Corporate and SME loans still dominate SRT pools, but transactions tied to specialized lending such as real estate and project finance are growing. European Union banks issued SRTs on 241 billion of underlying loans last year. U.S. banks have less incentive to pursue SRTs because looser capital requirements give them more balance sheet capacity. But that gap may narrow if U.S.

regulators tighten capital rules or if bank stock prices make capital efficiency more urgent. What this means for CRE borrowers: the lender you negotiate with may not be the entity that ultimately bears the credit risk. The bank's willingness to extend or modify a loan depends partly on whether the SRT investor agrees.

If the SRT investor is a private credit fund with a shorter duration mandate or a higher return target, the workout dynamic changes. The bank may want to extend. The SRT investor may want to take the loss and move on. What this means for CRE lenders: SRTs are a tool to manage regulatory capital, but they also create a new layer of counterparty dependency.

The bank's ability to lend depends on its ability to distribute risk. If the SRT market freezes, bank lending capacity contracts. If SRT investors demand higher returns, the cost of bank credit rises. Regulators are watching. The Bank of England, the European Central Bank, and the Financial Stability Board have warned about potential systemic risks from bank lending to private credit funds and other shadow banks that purchase SRTs.

The concern is interconnection and rollover risk. If a large SRT investor faces a liquidity shock, the bank may have to absorb the risk back onto its balance sheet at the worst possible time. The market is not becoming more transparent. It is becoming more layered. The loan is still on the bank's balance sheet. The risk is somewhere else. The borrower may not know who really holds the downside.

And the next credit cycle will reveal whether that structure holds or fractures. The question every CRE owner and lender should ask: when you refinance next year, who is really underwriting the risk?